

Piracy

Copyright, Ownership & the AI Frontier

MSc Artificial Intelligence — Seminar

September 20, 2026

Definition & Scope

Piracy / Copyright Infringement

Unauthorized reproduction, distribution, or use of copyrighted material in a manner that violates the owner's **exclusive rights**.

Info

With digital technology, modern piracy produces **exact and perfect copies** — either from hard copies or downloaded over the Internet.

Common forms



Illegal streaming sites

now dominant — ~96% of TV piracy

P2P / torrent networks

still active, ages 15–24

Cyber-lockers & direct downloads



Unauthorized AI training-data
scraping

emerging category

“

*If buying isn't owning,
piracy isn't stealing.*

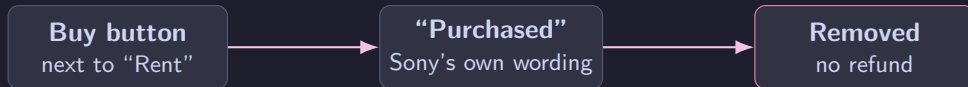
”

Viral slogan, recurring across online forums

The Triggering Event: Sony PlayStation (2026)

⚡ Case Study

Sony announced that **over 550 movies** purchased by PlayStation customers would be **removed from their accounts** — with **no refunds** and **no offline download**. Reason cited: *“content licensing arrangements”* (Studio Canal).



When the distinction between **buy** and **rent** collapses, the “theft” framing becomes incoherent — and the moral argument for piracy strengthens in consumers’ minds.

Gabe Newell (Valve Co-founder, 2011)

*“Piracy is not a pricing issue.
It’s a service issue.”*

- ▶ Best anti-piracy strategy is **not DRM** — it is **better service**.
- ▶ *“The easiest way to stop piracy is not by putting antipiracy technology to work. It’s by giving those people a service that’s better than what they’re receiving from the pirates.”*

✓ Takeaway

Sony’s 2026 action is a case study in what happens when the **service is fun-**

Subscription Economy & “You Will Own Nothing”

The WEF essay popularised “**You will own nothing and be happy**” — originally a speculative thought experiment about **access-based consumption** (capex → opex). It has since become a lightning rod for criticism of subscription models.

Domain	Shift
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Music	Ownership → streaming access (Spotify, Apple Music)
Video	DVD/Blu-ray → platform subscriptions (Netflix, Disney+)
Software	Perpetual licences → SaaS subscriptions
Gaming	Physical/digital purchase → Game Pass, cloud streaming
Cars	Ownership → leasing / subscription features

Legal Landscape — Traditional Cases

- ▶ **The Pirate Bay** (Netherlands, 2012)

District Court of The Hague ruled that subscribers of XS4ALL and Ziggo committed copyright infringement by uploading protected works.

- ▶ **Cox Communications** (US)

A Virginia jury awarded **\$1 billion** for contributory infringement. The Supreme Court later vacated the verdict — ISPs generally *not* liable for users' piracy.

- ▶ **Mulholland Drive** (France)

A court ordered DVD vendors to remove copy protection, ruling it violated privacy rights when a consumer tried to transfer the film for personal use.

Info

Pattern: courts consistently distinguish between **facilitating** infringement and **commit-**

AI Training Data Piracy — The Emerging Frontier

Case Study

Anthropic / Authors Guild Settlement (2026)

Downloaded **hundreds of thousands of books** from LibGen and other shadow libraries to train Claude.

\$1.5 billion settlement — the largest generative AI copyright settlement in US history. Covers ~480,000 works; over 90% of rights holders filed claims.

Key Point

Sony & Warner Music v. Anthropic (2026)

The AI Paradox — Why This Matters for MSc AI

What the cases establish

- ▶ Training AI on copyrighted works is **not inherently illegal**.
- ▶ **Acquiring them through piracy is.**
- ▶ **Data provenance matters legally.** Scraping or downloading pirated data is a distinct, actionable infringement — even if training itself is later deemed fair use.

Where it's heading

- ▶ \$1.5B was “*clearly not enough to deter*” a company valued at **\$2 trillion** — the settlement is priced as a **cost of doing business**.
- ▶ A **market-based solution is emerging**: AI companies signing licensing deals with publishers (OpenAI, Anthropic).

AI companies trained on pirated data to build tools that could displace the very creators whose work was pirated

Statistics — The Piracy Resurgence



+66% in four years

Metric	Figure
Pirated video visits (2023)	229 B/yr
Monthly infringing visits	~7 B
Subscription fatigue	62%
Manga piracy growth	+56%
TV piracy from streaming	96%
Sweden 15–24 admitting	25%

Info

Driver: “streaming fatigue” —

Discussion Points

1. **Is “piracy isn’t theft” coherent?** If the legal transaction is a licence, not a sale, what exactly is stolen — the licence? potential revenue? the exclusive distribution right?
2. **Service vs. price.** Piracy fell during streaming’s golden era (2015–2020) and rose as service quality declined. Is piracy primarily a **market failure**, not a moral failure?
3. **The AI paradox.** The \$1.5B Anthropic settlement is both a deterrent and a **cost of doing business** for a \$2T company.
4. **Digital ownership regulation.** California’s **AB 2426** requires platforms to disclose licence-not-ownership. EU **Digital Fairness / DSA** push similarly. Regulation — or just better-disclosed “you own nothing”?
5. **Preservation.** Piracy is often the *only* way media survives delisting, as Sony’s 550-movie removal shows. Is there a **public-interest justification**?

Piracy is a symptom, not a cause.

It rises where ownership is revoked,
access is fragmented, and service is broken.

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